

While there is obviously a demand for a Save the Whales group, signaling a value to the group itself, there is not necessarily any whale saving going on. Or even if there were, you wouldn't have any way of knowing what it was worth. Whale saving is not subject to market pricing.

Imagine a do-gooder who thinks he can make the world a better place by giving people Hula-Hoops for free. What has he done? He has taken valuable resources and turned them into something for which people may have neither a use nor a desire. He has made the world poorer.

He has done bad.

You can know when something has value only when people want it. So why not give them something they want, like bread? Then, surely you will be doing good, right?

Wrong.

If you give away bread, what happens to the person who used to earn his living growing rice? Doesn't the competition of free bread doom him to failure? Is that a good thing?

And where would you get the bread? You have to buy it, right? And as people switch from expensive rice and other cereals to free bread, you have to buy more and more of it. So you drive up the price of wheat and bring other farmers to switch from whatever they are doing to providing you with wheat so you can provide free bread.

Does the world have more food as a result of your generous offer? Not necessarily; producers have merely shifted from producing what people wanted—and were willing to pay for—to what you wanted. And since it is free to consumers, they take it up with both enthusiasm and contempt. Unless controls are put on, they are soon feeding it to their pigs so that they can enjoy some free bacon on their free bread. Feeding bread to pigs almost certainly makes the world a poorer place. Pigs can thrive on cheaper food. So you apply various systems of control to make sure your free bread program is not abused. You hire agents and controllers. You give out ration cards. You insist that recipients register and prove that they really need the bread.

This, of course, costs money, too. You are now replacing the market system, which needs none of these things, with a system of centralized, bureaucratic management. Instead of honest buyers and sellers, now your